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1. Pricing of Climate Risk Insurance: Regulation and Cross-Subsidies

Authors: SANGMIN S. OH, ISHITA SEN, ANA-MARIA TENEKEDJIEVA

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Published: 2026-03-16

Fields & Theories:

- **Fields:** Financial Intermediation, Insurance, ESG/Sustainable Finance, Financial Regulation
- **Theories:** Instrumental Variables, Border Discontinuity Design, Financing Constraints

Abstract:

Homeowners insurance is central to managing the rising losses from climate-related disasters. We show that insurance premiums are subject to starkly different regulations across states, creating persistent cross-subsidies and price distortions. We employ states' regulatory rules in an instrumental variable estimation and a border discontinuity design to show insurers do not adjust rates in highly regulated states and compensate by raising rates in less regulated states. Rates and risks diverge in the long run, distorting cross-state risk-sharing and increasing insurer exits from highly regulated states. We argue these patterns stem from the interactions between rate regulation and insurers' financing constraints. *Sangmin S. Oh is with Columbia Business School. Ishita Sen is with Harvard Business School and CEPR. Ana-Maria Tenekedjieva is with Arizona State University. We thank Antoinette Schoar (the Editor), an anonymous Associate Editor, two anonymous referees, Ralph Koijen, Adi Sunderam, and Moto Yogo for their valuable feedback that substantially improved the paper. For comments and discussions, we also thank Michael Barnett, Allen Berger, John Campbell, Vera Chau, Lauren Cohen, Mark Egan, Martin Grace, Sam Hanson, Shan Ge, Stefano Giglio, Robin Greenwood, Victoria Ivashina, Mathias Kruttli, Ryan Lewis, Gregor Matvos, Sergio Mayordomo, Adele Moris, Philip Mulder, Greg Niehaus, Amine Ouazad, Juan Palacios, Christopher Palmer, Kelly Posenau, Luis Quintero, Pari Sastry, David Scharfstein, Norman Schuerhoff, Andrei Shleifer, Janis Skrastins, Jeremy Stein, Johannes Stroebel, Amir Sufi, Venky Venkateswaran, Luis Viceira, Katherine Wagner, Rachel Xiao, Kevin Zhang, and Tony Zhang; as well as seminar and conference participants at Harvard Business School, NYU Stern, Yale SOM, MIT Golub Center for Finance and Policy, Cornell SC Johnson, UNC Kenan-Flagler, NY Fed, University of South Carolina, Temple University, American University, MIT Center for Real Estate Research, BI Norwegian, University of St. Gallen, NBER Summer Institute (Corporate Finance), NBER Insurance Working Group, SITE (Climate Finance), SITE (Urban and Housing), SFS Cavalcade, AFA, FIRS, EFA, E-axes Forum, Becker Friedman Institute Empirical Micro Conference, NY Fed/NYU Financial Intermediation Conference, Stanford Macro-Finance Junior Conference, UNC CREDA, DC-Area Juniors Conference, San Francisco Fed System Climate Meeting, ABFER, FRB PA Consumer Finance Round Robin, WRIEC, EEA, Booth Joint Program Conference, and OSU PhD Conference for their helpful comments. The National Association of Insurance Commissioners and Quadrant Information Services own the copyright to their respective data, which we use with permission. We are grateful to insure.com for sharing data on HO' premiums. Sen gratefully acknowledges...

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2. The Benefits of Access: Evidence from Private Meetings with Portfolio Firms

Authors: MARCO BECHT, JULIAN FRANKS, HANNES F. WAGNER

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Published: 2026-02-22

Fields & Theories:

- **Fields:** Asset Management, Corporate Governance, ESG/Sustainable Finance, Financial Intermediation
- **Theories:** Soft Information, Large Language Models, Information Asymmetry, Voice and Exit

Abstract:

We use large language models to analyze the content of 4,700 private meetings between a large active asset manager and its portfolio firms. The high-level meetings convey mostly soft information about the firm, and

little about industry or market. Fund manager meetings focus on business models and financial metrics, while governance specialist meetings focus on environmental, social, and governance risks; *Marco Becht is with Solvay Brussels School, Université libre de Bruxelles, CEPR, and ECGI. Julian Franks is with London Business School and ECGI. Hannes F. Wagner is with Bocconi University and ECGI. This paper was previously circulated under the title "Corporate Governance through Voice and Exit." We are grateful for helpful comments to Amit Seru (the Editor); an Associate Editor; two anonymous referees; an anonymous specialist; Martin Bengtzen; Bernie Black; Lucian Bebchuk; Itzhak Ben-David; Paul Davis; Alon Brav; Pierre Collin-Dufresne; Alex Edmans; Jill Fisch; Slava Fos; Mariassunta Giannetti; Oliver Hart; John Kay; Beni Lauterbach; Michelle Lowry; Dorothy Lund; Christopher Malloy; Colin Mayer; Anna Pavlova; Henri Servaes; Joel Shapiro; René Stulz; Ian Tonks; Pietro Veronesi; Mike Weisbach; Russ Wermers; Miriam Schwartz-Ziv; Yishay Yafeh; Luigi Zingales; seminar participants at the Financial Conduct Authority, University of Bath, BI Oslo, Bocconi University, Cambridge University, London Business School, Frankfurt School of Finance, Goethe University Frankfurt, Ohio State University, RIETI/Waseda Tokyo, UCLA, USC, Utrecht University, University of Zurich, and Warwick University; and participants at the 2020 American Finance Association Meeting, the 2019 Corporate Governance Conference at Drexel University, the 2018 Institutional Investor Activism and Engagement Conference in Tel Aviv and Jerusalem, and a 2018 ECGI Roundtable hosted by Hermes in London. We thank Norges Bank Investment Management (NBIM) under the Norwegian Finance Initiative (NFI) Research Programme, the Italian Ministry of Education, University and Research under Grant "MIUR - PRIN 2017 Prot. 2017RJNM5," the Goldschmidt Chair for Corporate Governance at the Solvay Brussels School for Economics and Management (SBS-EM) at Université libre de Bruxelles, the Innocenzo Gasparini Institute for Economic Research, and the BAFFI CAREFIN Centre for Applied Research on International Markets, Banking, Finance, and Regulation for financial support. We gratefully acknowledge the contributions of Guy Jubb, Peter Andrews, Jonathan Cobb, Mike Everett, Alison Kennedy, Philip Lovelace, Simon McCallum, Andrew Millington, Chris McLeod, Keith Skeoch, Mike Staunton, Euan Stirling, and Douglas Wilson for patiently answering our questions and providing data. Aberdeen Investments provided confidential data and...

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3. Carbon Pricing versus Green Finance

Authors: LASSE HEJE PEDERSEN

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Published: 2026-02-08

Fields & Theories:

- **Fields:** ESG/Sustainable Finance, Asset Pricing, Public Finance
- **Theories:** Social Cost of Carbon, Pigouvian Tax, General Equilibrium, Discounting

Abstract:

Green finance—including environmental, social, and governance investing and sustainable finance regulations—is widespread, but can it substitute for carbon pricing in fighting climate change? In a unified model, I show that (i) when carbon prices reflect the social cost of carbon, green finance should not be used; (ii) when carbon prices are too low, green finance can implement the social optimum if each firm's cost of capital can be set to its sustainable discount rate, which increases with the ratio of carbon emissions to firm value. I provide calibrations, analyze stranded assets, and present implementations through subsidies or preferential financing for green firms. CLIMATE CHANGE REPRESENTS THE ULTIMATE challenge for economics according to the Nobel prize lecture of Nordhaus (2019). Nordhaus recommends a Pigouvian carbon tax equal to the "social cost of carbon," which he estimates to be 43 dollars per metric ton of carbon emissions (\$/tCO₂) in one of his models. Carbon pricing is growing only slowly in the real world, however, while various forms of green finance are promoted by UN, EU, many central banks, creditors, pension funds, and other investors. Green finance refers to investment policies that reflect environmental, social, and governance (ESG) concerns *Lasse Heje Pedersen is with AQR Capital Management, Copenhagen Business School, and CEPR. I am grateful for helpful comments from Darrell Duffie, Niels Gormsen, Theis I. Jensen, Marc Eskildsen, Nicolae Garleanu, William Hogan, Markus Ibert, Leonid Kogan, Claus Thustrup Kreiner, David Lando, Maria V. Olesen, Ľuboš Pástor, Lukasz Pomorski, Andrei Shleifer, Aleh Tsyvinski; seminar participants at Harvard University, Olin Business School at Washington University in Saint Louis, New York University, Yale University, University of Amsterdam, and Copenhagen Business School; and conference participants at the European Energy Policy Conference by MIT and Cambridge University, Cornell-OFRC Conference on Global Climate

Finance and Risks, 24th Macro Finance Workshop, and the Swiss Finance Institute 2023 Outstanding Paper Award Event; as well as to Clara E. Tørsløv for excellent research assistance. AQR Capital Management is a global investment management firm, which may or may not apply similar investment techniques or methods of analysis as described herein. The views expressed here are those of the author and not necessarily those of AQR. I have also served on the Research Advisory Council for Denmark's Nationalbank (the central bank of Denmark), and I gratefully acknowledge support from the Center for Big Data in Finance...

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4. Competition Enforcement and Accounting for Intangible Capital

Authors: JOHN D. KEPLER, CHARLES G. MCCLURE, CHRISTOPHER R. STEWART

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Published: 2026-02-06

Fields & Theories:

- **Fields:** Corporate Finance, Financial Regulation, Industrial Organization
- **Theories:** Intangible Capital, Market Power, Information Asymmetry, Regulatory Arbitrage

Abstract:

Antitrust laws mandate review of mergers and acquisitions (M&As) that exceed an asset size threshold based on accounting standards that exclude most intangible capital. We show that this exclusion leads to thousands of intangible-intensive M&As being nonreportable. Acquirers in nonreportable deals achieve higher equity values and price markups, especially when consolidating product markets. Furthermore, nonreportable pharmaceutical deals are three times more likely to involve overlapping drug projects, which are subsequently 40% more likely to be terminated. Our results suggest that the growth of intangible assets may exacerbate market power through nonreportable consolidation of the sectors most concerning for consumers. *John D. Kepler is at the Stanford Graduate School of Business and SIEPR. Charles G. McClure and Christopher R. Stewart are at the University of Chicago Booth School of Business. We thank our Editor, Antoinette Schoar, our anonymous Associate Editor, and two anonymous referees for their generous and constructive feedback. Our study has also benefited greatly from input provided by Ray Ball, Tim Bauer, Phil Berger, Matthias Breuer, David De Angelis (discussant), Olivier Des-saint (discussant), Florian Ederer, Kurt Gee, Paul Hribar (discussant), Robert Holthausen, Steve Kaplan, Andrew Leone, Christian Leuz, Song Ma, Regina Wittenberg-Moerman, Allison Nicoletti (discussant), Valeri Nikolaev, Jun Oh, Thomas Rauter, Tano Santos, Martin Schmalz, Catherine Schrand, Amit Seru, Doug Skinner, Amir Sufi, Thomas Wollmann, Pranav Yadav, and Luigi Zingales; seminar participants at HKUST, IESE, LBS, Rice University, Tilburg University, University of Technology Sydney, University of Texas at Austin, University of Waterloo, Wharton, Wilfrid Laurier University, and Yale University; as well as participants at the AFA Annual Meeting, Bayes Business School and ECGI MARC Conference, Kelley Accounting Research Symposium, Kellogg Accounting Conference, Miami Accounting Conference, Penn State Accounting Research Conference, and Utah Winter Accounting Conference. We thank Kevin Berman, Boyie Chen, Jin Deng, Alex Kim, and Ji-Eon Kim for outstanding research assistance. We gratefully acknowledge financial support from the University of Chicago Booth School of Business, the Chookaszian Accounting Research Center at the University of Chicago Booth School of Business, the Chicago Booth Healthcare Initiative, and Stanford GSB. McClure gratefully acknowledges support from the Liew Faculty Fellowship. Stewart gratefully acknowledges support by the William S. Fishman Faculty Research Fund at the University of Chicago Booth School of Business. We have read The Journal of Finance disclosure policy and have no conflicts of interest to disclose. Correspondence: John D. Kepler, Graduate...

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5. The Dollar during the Great Recession: The Information Channel of U.S. Monetary Policy and the "Flight to Safety"

Authors: VANIA STAVRAKEVA, JENNY TANG

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Published: 2026-01-27

Fields & Theories:

- **Fields:** International Finance, Monetary Policy, Asset Pricing
- **Theories:** Information Channel, Forward Guidance, Flight to Safety, Rational Expectations

Abstract:

Conventional wisdom holds that lowering a home country's interest rate relative to another's will depreciate the domestic currency. We document that, at business-cycle frequencies, U.S. forward guidance monetary policy easings had the opposite effect during the Great Recession. We attribute this effect to calendar-based forward guidance that signaled economic weakness, resulting in a "flight-to-safety" effect and lower expected U.S. inflation. We also document cross-currency heterogeneity: a surprise U.S. rate cut induced a larger appreciation of the dollar against currencies that typically depreciate more when the world economy is contracting. We build a model that can reconcile these findings. Monetary policy—one of the most powerful tools used to influence the economy—affects real activity by moving asset prices, including exchange rates. The link between monetary policy and exchange rate movements is particularly relevant when it comes to the effects of U.S. monetary policy on the value of the dollar, given its global dominance in trade invoicing, asset issuance, and official reserve holdings.¹ Understanding this link is, therefore, of first-order importance. A common perception among both financial market participants and policy-makers is that lowering a country's interest rates, through either conventional

*Vania Stavrakeva is at London Business School. Jenny Tang is at the Federal Reserve Bank of Boston. The views expressed in this paper are those of the authors and do not necessarily represent the views of the Federal Reserve Bank of Boston or the Federal Reserve System. We are indebted to Editor Stefan Nagel, an anonymous Associate Editor, and two anonymous referees for their useful suggestions. Nikhil Rao provided invaluable research assistance on this project. We thank the participants and discussants at numerous seminars and conferences. We are also grateful to Emmanuel Farhi, Domenico Giannone, Gita Gopinath, Kinda Hachem, Stephen Morris, Ali Ozdagli, Paolo Pesenti, Ricardo Reis, Hélène Rey, Kenneth Rogoff, and Michael Weber for useful comments. We have read The Journal of Finance disclosure policy and have no conflicts of interest to disclose. Correspondence: Vania Stavrakeva, London Business School, Sussex Place, London, UK; e-mail: vstavrakeva@london.edu ¹ See Goldberg and Tille (2008), Shin (2012), Ivashina, Scharfstein, and Stein (2015), Gopinath et al. (2020), Gopinath (2016), and Gopinath and Stein (2020). DOI: 10.1111/jofi.70025

STAVRAKEVA - The Dollar during the Great Recession The Information Channel of U.S. Monetary P.pdf

6. Monetary Policy and Wealth Effects: The Role of Risk and Heterogeneity

Authors: NICOLAS CARAMP, DEJANIR H. SILVA

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Published: 2026-01-27

Fields & Theories:

- **Fields:** Macro-Finance, Asset Pricing, Monetary Policy
- **Theories:** Heterogeneous-Agents New Keynesian (HANK) Model, Rare Disasters, Heterogeneous Beliefs, Precautionary Savings

Abstract:

We study the role of asset revaluation in the monetary transmission mechanism. We build an analytical heterogeneous-agents model with two main ingredients: (i) rare disasters and (ii) heterogeneous beliefs. The model captures time-varying risk premia and precautionary savings in a setting that nests the textbook New Keynesian model. The model generates large movements in asset prices after a monetary shock but these movements can be neutral on real variables. Real effects depend on the redistribution among agents with heterogeneous precautionary motives. In quantitative analysis, we find that this channel can account for a large fraction of the transmission to aggregate consumption. A LONG TRADITION IN MONETARY economics emphasizes the role of the revaluation of real and financial assets in shaping the economy's response to changes in monetary policy. Its importance can be traced back to both classical and Keynesian economists.¹ Keynes himself described the effects of interest rate changes as follows: Perhaps the most important influence, operating through changes in the rate of interest, on the readiness to spend out of a given income, depends

*Nicolas Caramp is with Department of Economics, UC Davis. Dejanir Silva is with the Daniels School of Business, Purdue University. We would like to thank Urban Jernam (Editor), two anonymous referees, Hengjie Ai (discussant), Francesco Bianchi, Francisco Buera, Colin Cameron, James Cloyne,

Bill Dupor, Gauti Eggertsson, Rustam Jamilov (discussant), Òscar Jorda, Rohan Kekre (discussant), Narayana Kocherlakota, Steffan Lewellen (discussant), Dmitry Mukhin, Benjamin Moll, Matt Rognlie (discussant), Sanjay Singh, Jón Steinsson, Gianluca Violante (discussant), and Andreas Tischbirek (discussant) as well as seminar and conference participants for helpful comments and suggestions. The authors have read The Journal of Finance disclosure policy and have no conflicts of interest to disclose. Correspondence: Dejanir H. Silva, Purdue University, Mitchell E. Daniels, Jr. School of Business, 403 W. State Street, West Lafayette, IN 47907; e-mail: dejanir@purdue.edu. This is an open access article under the terms of the Creative Commons Attribution License, which permits use, distribution and reproduction in any medium, provided the original work is properly cited. 1 The revaluation of government liabilities was central to Pigou (1943) and Patinkin (1965), while Metzler (1951) considered stocks and money. Tobin (1969) focused on the revaluation of real assets. DOI: 10.1111/jofi.70021

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7. Monetary Policy, Inflation, and Crises: Evidence from History and Administrative Data

Authors: GABRIEL JIMÉNEZ, DMITRY KUVSHINOV, JOSÉ-LUIS PEYDRÓ, BJÖRN RICHTER

DOI: [10.1111/jofi.70023](https://doi.org/10.1111/jofi.70023)

Published: 2026-01-27

Fields & Theories:

- **Fields:** Financial Intermediation, Banking, Monetary Policy, Macro-Finance
- **Theories:** Banking Crisis Risk, Credit Cycles, Asset Price Booms, Instrumental Variables

Abstract:

We show that a U-shaped monetary rate path increases banking crisis risk, via credit and asset price cycles, analyzing 17 countries over 150 years. Rate hikes (raw or instrumented) increase crisis risk, but only if preceded by prolonged cuts. These patterns are unique to banking crises, unlike noncrisis recessions. Regarding the mechanism, prolonged cuts raise the likelihood of large credit and asset price booms, *Gabriel Jiménez is with Banco de España. Dmitry Kuvshinov is with Universitat Pompeu Fabra (UPF), Barcelona School of Economics (BSE), and CEPR. José-Luis Peydró is with LUISS University, EIEF, and CEPR. Björn Richter is with Nova SBE, UPF, and BSE. We would like to thank the editor Urban Jermann; the anonymous associate editor; two anonymous referees; Viral Acharya; Franklin Allen; Vladimir Asriyan; Frederic Boissay; Patrick Bolton; Andrea Caggese; Fabrizio Core; John Duca; Eugene Fama; Jordi Galí; Mishel Ghassibe; Marc Giannoni; Charles Goodhart; Cornelia Holthausen; Kilian Huber; Maximilian Jager; Priit Jeenas; Philip Lane; Cristina Manea; Loretta Mester; Geert Meesters; Carolin Pflueger; Huw Pill; Raghuram Rajan; Isabel Schnabel; Amir Sufi; Judit Temesvary; Emil Verner; Alejandro Vicondoa; Ernst-Ludwig von Thadden; seminar participants at Bank of England, Bank of Italy, Bank for International Settlements, Chicago Booth, CREi, European Central Bank, Federal Reserve Bank of Chicago, Federal Reserve Bank of Florida, the IMF, Imperial College London, Kellogg School of Management, Mannheim, and Norges Bank; as well as conference participants at the CEBRA annual meeting, "Financial Stability and Regulation" (Bank of Italy), ChaMP inaugural conference (ECB), "Macro seeds of financial imbalances" (Fed Board), GRUV (Zurich), CEPR Endless Summer, EEA annual meeting, "New (and Old) Challenges to Financial Intermediaries," IBEO (Alghero), "Interest Rate Variability and the Financial Sector" (Atlanta Fed), "Non-conventional Monetary Policy" (Groningen), Challenges to Financial Stability (Halle), Oxford IFABS, "Medium- and Long-Run Trends in Interest Rates: Causes and Implications for Monetary Policy" (Central Bank of Chile), and the Oxford-ETH Zurich Macro-finance conference, for helpful comments. This paper reflects our views and not necessarily the views of the Banco de España or the Eurosystem. This work was supported by the Spanish Agencia Estatal de Investigación (AEI) through the Severo Ochoa Programme for Centres of Excellence in R & D (Barcelona School of Economics CEX2019-000915-S), and the Spanish Ministry of Science and Innovation and the State Research Agency grant PID2020-118541GB-I00 and the Ramon y Cajal fellowship (RYC2021-033982-I and RYC2022-038033-I). We have read The Journal of Finance...

JIMÉNEZ - Monetary Policy, Inflation, and Crises Evidence from History and Administrative.

8. Bank Monitoring with On-Site Inspections

Authors: Amanda Rae Heitz, Christopher Martin, Alexander Ufier

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Published: 2026-01-22

Fields & Theories:

- **Fields:** Financial Intermediation, Banking, Corporate Finance, Credit Risk
- **Theories:** Information Asymmetry, Agency Theory, Monitoring, Empirical Analysis

Abstract:

Using proprietary transaction-level data on nonsyndicated construction loans, we provide some of the first empirical evidence on the drivers and consequences of bank monitoring through on-site inspections. Banks trade off monitoring intensity with favorable origination terms. Monitoring intensity escalates in response to local economic downturns or the bank's financial instability. Borrowers with negative inspection reports have more draw requests denied, suggesting that monitoring outcomes impact credit decisions. Both the occurrence and threat of increased inspection *Amanda Rae Heitz is with A. B. Freeman School of Business, Department of Finance, Tulane University and Federal Deposit Insurance Corporation (FDIC). Christopher Martin and Alexander Ufier are at FDIC. Amanda Rae Heitz is employed by Tulane University, who paid her salary. A portion of this paper was also written during the time that Amanda Heitz was an Visiting Scholar with the Federal Deposit Insurance Corporation (FDIC). The FDIC paid a significant amount of Amanda Heitz's salary while she was working for them under an Intergovernmental Personnel Act (IPA) Agreement with Tulane University. Christopher Martin is a Senior Financial Economist at FDIC, and they pay his salary. Alexander Ufier is Section Chief for Quantitative Risk Analysis at FDIC, and they pay his salary; much of the paper was written while he was a Senior Financial Economist. The data used in this paper are owned by the FDIC, were provided to the authors for the purposes of this research, and are subject to strict confidentiality requirements. FDIC senior management is required to review all drafts of this paper prior to circulation of any kind. We are thankful for comments from the Editor, Antoinette Schoar, along with two anonymous referees and an Associate Editor. We are also thankful for comments from Patrick Akey, Rosalind Bennett, Yasser Boualam, Jin Cao, Lucy Chernykh, Karyen Chu, Sebastian Doerr, Isil Erel, Mark Flannery, Nick Frazier, Ivan Ivanov, Steven Karolyi, Mathias Kronlund, David Javakhadze, Roni Kisin, Zack Liu, Yiming Ma, Jordan Pandolfo, Jon Pogach, Liu Wang, Smith Williams, Andrew Winton, and participants at the American Economic Association Annual Meeting, Arizona State University Sonoran Winter Finance Conference, South Carolina Fixed Income and Financial Institutions Conference, Community Banking Research Conference, Federal Deposit Insurance Corporation Bank Research Conference, European Finance Association, Northern Finance Association, IBEFA Summer Conference, Eastern Finance Association, Financial Management Association Annual Meeting, The Ohio State University, Federal Reserve Board, Federal Deposit Insurance Corporation, and Tulane University. We...

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9. Model Ambiguity versus Model Misspecification in Dynamic Portfolio Choice

Authors: PASCAL J. MAENHOUT, HAO XING, ANNE G. BALTER

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Published: 2026-01-21

Fields & Theories:

- **Fields:** Asset Pricing, Behavioral Finance, Portfolio Choice
- **Theories:** Model Ambiguity, Model Misspecification, Robust Control, Knightian Uncertainty

Abstract:

We study aversion to model ambiguity and misspecification in dynamic portfolio choice. Risk-averse investors (relative risk aversion $\gamma > 1$) fear return persistence, while risk-tolerant investors ($0 < \gamma < 1$) fear mean reversion, when confronting model misspecification concerns of identically and independently distributed (IID) returns. The intuition is that risk-averse investors, who want to hedge intertemporally, endogenously fear return persistence, which precludes hedging. A log investor is myopic and unaffected by model misspecification, therefore only worrying about model ambiguity. Our model can generate belief scarring, non-

participation in equity markets, and extrapolative return expectations. Extending beyond IID returns, we study model misspecification for a mean-reverting Sharpe ratio. THE SEMINAL WORK OF HANSEN and Sargent (2001) underscores the importance of model uncertainty for economic agents. Indeed, when solving dynamic problems, agents face complex model selection and estimation challenges, raising concerns about misspecification of the models they estimate. It therefore seems plausible that investors seek dynamic decisions that perform well not only when the models used to derive them are specified correctly, but also when there is some misspecification. The robust control literature

*Pascal J. Maenhout is at INSEAD. Hao Xing is at the Questrom School of Business, Boston University. Anne G. Balter is at Tilburg University. We thank the Editor (Leonid Kogan), two anonymous referees, Harjoat Bhamra, Jaroslav Borovička, John Campbell, Simone Cerreia-Vioglio, Gary Chamberlain, Ian Dew-Becker, Bernard Dumas, Mike Gallmeyer, Philipp Illeditsch, Antoon Pelsser, Adam Spencer, seminar participants at INSEAD, Lille, Maastricht and Tilburg University, and conference participants at the 2024 American Finance Association Meeting, 2023 Asian Meeting of the Econometric Society, 2023 European Summer Symposium in Financial Markets, and the 2023 Risk Uncertainty and Decision Conference for insightful comments and discussions. All errors are ours. We have read The Journal of Finance disclosure policy and have no conflict of interest to disclose. Correspondence: Pascal J. Maenhout, INSEAD Middle East Campus, Al Khatem Tower ADGM Square, Al Maryah Island, Abu Dhabi, UAE; e-mail: pascal.maenhout@insead.edu. This is an open access article under the terms of the Creative Commons Attribution-NonCommercial-NoDerivs License, which permits use and distribution in any medium, provided the original work is properly cited, the use is non-commercial and no modifications or adaptations are made. DOI: 10.1111/jofi.70027

MAENHOUT - Model Ambiguity versus Model Misspecification in Dynamic Portfolio Choice.pdf

10. Investor Composition and the Liquidity Component in the U.S. Corporate Bond Market

Authors: JIAN LI, HAIYUE YU

DOI: [10.1111/jofi.70024](https://doi.org/10.1111/jofi.70024)

Published: 2026-01-21

Fields & Theories:

- **Fields:** Asset Pricing, Market Microstructure, Fixed Income, Financial Intermediation
- **Theories:** Liquidity Premium, Heterogeneous Investors, Credit Spreads, Investor Composition

Abstract:

The link between corporate bond credit spreads and secondary market illiquidity in the cross section has grown stronger since 2005, resulting in a higher liquidity component in credit spreads. Using U.S. investor holdings data, we show that short-term investors (e.g., mutual funds/exchange-traded funds [ETFs]) increase trading activities in the secondary market, amplifying the effect of secondary market frictions on prices. We provide a model featuring heterogeneous investors with different trading needs and heterogeneous bonds to investigate the impact of the rapid-growing mutual fund/ETF sector on the corporate bond market. We find the change in investor composition can quantitatively explain the aggregate trend. CORPORATE BOND MARKETS ARE A crucial financing channel for firms in the United States and worldwide. The corporate bond market disruption in March 2020 suggests that the market has become more fragile compared to a decade ago. It has been difficult, however, to identify measures of such change in the market. Preceding this event, bid-ask spreads and other standard measures implied that liquidity was weakly improving.¹ *Jian Li is at Columbia Business School. Haiyue Yu is at Snowflake Inc. The authors thank Philip Bond (Editor), an Associate Editor, and two anonymous referees for helpful comments. We are indebted to Zhiguo He, Ralph Koijen, Douglas Diamond, Lars Peter Hansen, and Anil Kashyap for their invaluable guidance. We are grateful for discussions with many people, including Eliot Abrams, Markus Brunnermeier, Wenxin Du, John Heaton, Moritz Lenel, Yueran Ma, Stefan Nagel, Lubos Pastor, Anna Pavlova, Jonathan Payne, Batchimeg Sambalaibat, Wei Xiong, and Motohiro Yogo. We also thank seminar participants at National University of Singapore, University of Washington Foster, Tsinghua University Graduate School of People's Bank of China, Purdue University Krannert, UCSD Rady, Rice University Jones, Atlanta Fed, Indiana University Kelley, HKU, Yale SOM, Bank of Canada, University of Utah David Eccles, Texas A&M Mays, Harvard Business School, Chicago Fed, Columbia Business School, MIT Sloan, Wisconsin School of Business, Arizona State University Carey, Dallas Fed, UCLA Anderson, Richmond Fed, Wharton, Copenhagen Business School, NYU Stern, NY Fed, Federal Reserve Board, and Northwestern Kellogg for helpful discussions. All errors are our own. We have read The Journal of Finance disclosure policy and have no conflicts of interest to disclose. Correspondence: Jian

11. Deposit Inflows and Outflows in Failing Banks: The Role of Deposit Insurance

Authors: CHRISTOPHER MARTIN, MANJU PURI, ALEXANDER UFIER

DOI: [10.1111/jofi.70007](https://doi.org/10.1111/jofi.70007)

Published: 2026-01-21

Fields & Theories:

- **Fields:** Financial Intermediation, Banking, Deposit Insurance, Liquidity
- **Theories:** Moral Hazard, Information Asymmetry, Bank Runs, Empirical Identification

Abstract:

Using unique, daily, account-level data, we investigate deposit outflows and inflows in a distressed bank. We observe an outflow of uninsured depositors following bad regulatory news. Both regular and temporary deposit insurance reduce outflows. We provide important new evidence that, simultaneous with deposit outflows, deposit in- flows are first order. Uninsured deposit outflows were largely offset with new insured deposit inflows as the bank approached failure, with the bank increasing term deposit rates. This phenomenon holds in a large sample of banks that faced regulatory action, *Christopher Martin is with the FDIC. Manju Puri is with Duke University and NBER. Alexan- der Ufier is with the FDIC. The authors thank the Editor (Amit Seru), the Associate Editor, and anonymous referees, as well as seminar and conference participants at the Adam Smith Work- shops (Paris), AFA Annual Meetings, Avoiding and Resolving Banking Crises Conference (Ams- terdam), Banking Research Conference, Basel Research Task Force Conference, Biennial International Association of Deposit Insurers Research Conference (Basel), Chicago Financial Institutions Conference, Conference for Banking Development Stability and Sustainability (Santiago), Con- ference on Financial Stability: Markets and Spillovers, Duke University, FMA Annual Meeting, Interagency Early Warning Model Workshop, EEA Conference, Federal Financial Institutions Ex- amination Council Conference, Federal Reserve Short-Term Funding Markets Conference, FIRS Conference (Hong Kong), Fixed Income and Financial Institutions Conference, Johns Hopkins University, Mid-Atlantic Research Conference, NBER Corporate Finance Conference, NBER Mon- etary Economics Conference, NYU, OFR, University of Pennsylvania Institute for Law and Eco- nomics, and Washington University Corporate Finance Conference for comments and suggestions. We thank Giuseppe Boccuzzi, Paul Calem, Giovanni Calice, Mark Egan, Kinda Hachem, Allen Berger, Ali Hor- taçsu, Rustom Irani, Ed Kane, Dasol Kim, Diana Knyazeva, Carlos Noton, George Pennachi, Raluca Roman, Richard Rosen, Glenn Schepens, Philipp Schnabl, Steven L. Schwarcz, Pablo Slutzky, Günseli Tümer-Alkan, Guillaume Vuilleme, Larry Wall, James Wilcox, and mem- bers of the FDIC for comments and helpful feed- back. This paper was written while Christopher Martin and Alexander Ufier were employees of FDIC. Manju Puri was under an IPA with FDIC and subsequently on contract. The data are sensitive and proprietary to the FDIC and cannot be released. FDIC had the right to review this manuscript. Views and opinions expressed in this paper reflect those of the authors and do not necessarily reflect those of the Federal Deposit Insur- ance Corporation or the United States. We have read The Journal of Finance disclosure policy and...

12. Institutional Investor Attention

Authors: ALAN KWAN, YUKUN LIU, BEN MATTHIES

DOI: [10.1111/jofi.70009](https://doi.org/10.1111/jofi.70009)

Published: 2026-01-16

Fields & Theories:

- **Fields:** Asset Pricing, Behavioral Finance, Asset Management, Information Economics
- **Theories:** Limited Attention, Rational Inattention, Portfolio Choice Theory, Information Acquisition

Abstract:

Using data on Internet news reading, we measure fund-level attention to both aggregate and firm-specific news and relate it to fund portfolio allocation decisions. In the time series, we find that funds shift attention toward macroeconomic news during periods of high aggregate volatility. Those funds that exhibit stronger attention-reallocation patterns earn higher future returns. In the cross-section of fund portfolios, fund attention is positively related to stock holdings. Furthermore, fund attention to a stock increases the value-add of that position to the fund's performance. This relationship is stronger using fund attention to more value-relevant news articles. THE DIFFICULTIES THE CANONICAL PORTFOLIO allocation model has faced in attempting to explain key empirical regularities in portfolio allocation decisions, such as underdiversification, home bias, and style investing, have sparked a large theoretical literature.¹ A potential mechanism proposed by the literature to address these puzzles is limited attention (e.g., Peng and Xiong (2006); Van Nieuwerburgh and Veldkamp (2009; 2010); Glode (2011), Kacperczyk et al. (2016), Maćkowiak et al. (2023)). Under limited attention, investors must decide how to allocate their scarce attention to acquire *Alan Kwan is with the University of Hong Kong. Yukun Liu is with the University of Rochester. Ben Matthies is with the University of Notre Dame. We thank the Editor (Wei Xiong), an Associate Editor, and two anonymous referees for many helpful comments and suggestions. We also thank Nicholas Barberis, Azi Ben-Rephael (discussant), Alex Chinco, Zhi Da, Kent Daniel, Joseph Engelberg, Paul Gao, Stefano Giglio, Ben Golez, Ahmed Guecioueur (discussant), Ron Kaniel, Andrew Karolyi, Tim Loughran, Alan Moreira, Stefano Pegoraro, Lin Peng, Joel Peress (discussant), Paul Schultz, John Shim, Denis Sosyura, Yuehua Tang, Baolian Wang, Chen Wang, and seminar participants at Arizona State University, University of Cincinnati, University of Florida, University of Notre Dame, BFWG Conference, NBER Behavioral Finance Spring Meeting, and the Western Finance Association Annual Meeting for helpful comments. We have read The Journal of Finance disclosure policy and have no conflicts of interest to disclose. Correspondence: Alan Kwan, University of Hong Kong; e-mail: apkwan@hku.hk. This is an open access article under the terms of the Creative Commons Attribution License, which permits use, distribution and reproduction in any medium, provided the original work is properly cited. ¹ For evidence of underdiversification, see, for example, Friend and Blume (1975) and Goetzmann and Kumar (2008). For evidence of home bias, see, for example, French...

KWAN - Institutional Investor Attention.pdf

13. Corporate ESG Profiles and Investor Horizons

Authors: LAURA T. STARKS, PARTH VENKAT, QIFEI ZHU

DOI: [10.1111/jofi.70008](https://doi.org/10.1111/jofi.70008)

Published: 2026-01-08

Fields & Theories:

- **Fields:** ESG/Sustainable Finance, Corporate Finance, Institutional Investors, Asset Pricing
- **Theories:** Investment Horizon, Limits to Arbitrage, Information Asymmetry, Agency Theory

Abstract:

We find that long-term institutional investors tilt their portfolios toward firms with better Environmental, Social, and Governance (ESG) profiles, in the cross sections of both institutional investor portfolios and the ownership of firms. We test whether several theoretically motivated mechanisms can explain this relationship. Our results that long-term investors exhibit patience with firms around poor earnings announcements, but quickly sell portfolio firms after negative ES incidents, support the view that long- and short-term investors evaluate information differently. Our evidence shows that limits-to-arbitrage play a role, as we find that investors' ESG tilt weakens following regulatory shocks that shorten their horizon. MANY INSTITUTIONAL INVESTORS CONSIDER FIRMS' Environmental, Social, and Governance (ESG) profiles when making investment decisions (e.g., Krueger, Sautner, and Starks (2020)). Considerable disagreement exists, however, regarding how ESG considerations should impact portfolio decisions. Some investment managers believe that a firm's ESG profile is informative about future returns and risks (Albuquerque, Koskinen, and Zhang (2019); Pedersen, Fitzgibbons, and Pomorski (2021)), while others believe that a firm's ESG profile is motivated by their own or their investors' nonpecuniary preferences (e.g., Heinkel, Kraus, and Zechner, 2001; Pastor, Stambaugh, and Taylor, *Laura Starks is with McCombs School of Business, University of Texas at Austin. Parth Venkat is with U.S. Securities and Exchange Commission. Qifei Zhu is with NUS Business School, National University of Singapore. The authors thank Adair Morse; Sadok El Ghouli; Raghavendra Rau; Doina Chichernea; Philipp Krueger; Clemens Sialm; Yuehua Tang; Sheridan Titman; Wei Xiong (the Editor); two anonymous referees;

participants at the WFA meeting, Darla Moore School, University of South Carolina, Hitotsubashi University Corporate Finance Conference, FTSE- Russell World Investment Forum, FMA meeting, PRI Academic Network Conference, University of Arizona, BI Norwegian Business School, Cornell University, University of Oklahoma, University of Texas, and University of Virginia for helpful comments. This paper won the 2018 PRI Best Quantitative Paper Award and the 2021 Moskowitz Prize for Outstanding Research in Sustainable Finance. We have read The Journal of Finance disclosure policy and have no conflicts of interest to disclose. Correspondence: Laura Starks, McCombs School of Business, University of Texas at Austin, Austin, TX 78712; e-mail: Laura.Starks@mcombs.utexas.edu. This is an open access article under the terms of the Creative Commons Attribution- NonCommercial-NoDerivs License, which permits use and distribution in any medium, provided the original work is properly cited, the use is non-commercial and no modifications or adaptations are made. DOI: 10.1111/jofi.70008

STARKS - Corporate ESG Profiles and Investor Horizons.pdf

14. Default Risk and the Pricing of U.S. Sovereign Bonds

Authors: ROBERT F. DITTMAR, ALEX HSU, GUILLAUME ROUSSELLET, PETER SIMASEK

DOI: [10.1111/jofi.70014](https://doi.org/10.1111/jofi.70014)

Published: 2026-01-06

Fields & Theories:

- **Fields:** Asset Pricing, Fixed Income, Sovereign Debt, Credit Risk
- **Theories:** Affine Term Structure Model, No-Arbitrage Pricing, Default Risk, Market Friction

Abstract:

We examine the relative pricing of nominal Treasury bonds and Treasury inflation-protected securities in the presence of U.S. default risk. Hedged breakeven inflation is significantly positively related to U.S. default risk, driven by correlation between shocks to default risk and both shocks to inflation swap premia and Treasury yields. To understand the mechanisms through which default risk is related to inflation swaps and sovereign yields, we estimate an affine term structure model to capture their joint dynamics. Our estimation implies that the interaction between inflation dynamics and default is the primary source of differential pricing. DOES DEFAULT RISK IMPACT THE pricing or relative pricing of U.S. Treasury obligations? We investigate this question through the lens of the relative pricing of nominal and inflation-protected Treasury securities. Our study is motivated by the pairwise mispricing between nominal and real bonds documented in Fleckenstein, Longstaff, and Lustig (2014). The authors show that a strategy replicating inflation-protected securities through inflation swaps, Separate Trading of Registered Interest and Principal of Securities *Robert F. Dittmar is at Rice University. Alex Hsu is at Georgia Institute of Technology. Guillaume Roussellet is at McGill University and Federal Reserve Bank of New York. Peter Simasek is at Core Alternative Capital. We are indebted to Editor Stefan Nagel and two anonymous referees. We would like to thank seminar participants at the 2019 AFA Annual Meeting, Banco Central de Argentina, the 2019 BI-SHoF Conference, Baylor University, Deutsche Bundesbank, the Federal Reserve Bank of Atlanta, the Federal Reserve Bank of Chicago, Georgia Institute of Technology, the 2019 HEC-McGill Winter Finance Workshop, the Sixth International Conference on Sovereign Bond Markets, the 2019 SFS Cavalcade, the 2019 South Carolina FIFI Conference, the 2019 UBC Winter Finance Conference, the 2019 SoFiE Annual conference, University of Massachusetts, the 2019 European Finance Association, and the 2019 Northern Finance Association for helpful comments. Thanks to Patrick Augustin, Geert Bekaert, Mikhail Chernov, Alexander David, Stefania D'Amico, Matthias Fleckenstein, Robin Greenwood, Espen Henriksen, Thomas King, Leonid Kogan, Lukas Schmid, and Luis Viceira for useful suggestions. The authors have no relevant or material financial interests that relate to the research described in this paper. The views expressed in this paper are those of the author(s) and do not necessarily reflect the position of the Federal Reserve Bank of New York or the Federal Reserve System. We have read The Journal of Finance disclosure policy and have no...

DITTMAR - Default Risk and the Pricing of U.S. Sovereign Bonds.pdf

15. The Long-Lasting Effects of Experiencing Communism on Attitudes toward Financial Markets

Authors: CHRISTINE LAUDENBACH, ULRIKE MALMENDIER, ALEXANDRA NIESSEN-RUENZI

DOI: [10.1111/jofi.70006](https://doi.org/10.1111/jofi.70006)

Published: 2025-12-25

Fields & Theories:

- **Fields:** Household Finance, Behavioral Finance, Cultural Finance
- **Theories:** Experience-Based Learning, Socialization, Stock Market Participation Puzzle, Ideology

Abstract:

We show that exposure to anti-capitalist ideology can exert a lasting influence on attitudes toward capital markets and stock market participation. Using novel survey, bank, and broker data, we document that, decades after Germany's reunification, East Germans invest significantly less in stocks and hold more negative views on capital markets. Effects vary by personal experience under communism. Results are strongest for individuals who remember life in the German Democratic Republic positively, for example, those living in a "showcase city." Results reverse for those with negative experiences like environmental pollution or lack of Western TV entertainment. ANTI-CAPITALIST IDEOLOGY REMAINS MARKEDLY MORE prevalent in formerly communist countries in Eastern Europe than it is in Western European countries (Fuchs-Schündeln and Schündeln (2020)). Yet, there are substantial differences within Eastern Europe. For example, the approval rate for the change to a market economy is 85% in Poland but only 55% in Bulgaria.¹ Stock market participation varies widely, even among neighboring countries.² What

*Christine Laudenbach is with SAFE and Goethe University. Ulrike Malmendier is with University of California, Berkeley. Alexandra Niessen-Ruenzi is with University of Mannheim. We would like to thank Peter Bossaerts; Nicola Fuchs-Schündeln; Mariassunta Giannetti; Mark Grinblatt; Michael Haliassos; Rawley Heimer; Zwetelina Iliewa; Gal Richter-Levin; Joshua Tucker; Alex Wagner; and seminar and conference participants at the Universities of Bonn, Berkeley, Chicago, Columbia, Frankfurt, Harvard, MIT, Stanford, UCLA, Wharton, the 4nations cup conference, the Annual Meeting of the American Finance Association 2019, the Helsinki Finance Summit, the NBER Summer Institute in Political Economy 2019, the Sloan-NOMIS Workshop at NYU, the Tinbergen Institute, and the International Conference on Household Finances 2018 for helpful comments. We have read The Journal of Finance's disclosure policy and have no conflicts of interest to disclose. All errors are our own. Correspondence: Alexandra Niessen-Ruenzi, University of Mannheim, 68131 Mannheim, Germany; e-mail: niessen@uni-mannheim.de. 1 See the 2019 PEW Research Center survey. Data from the World Value Survey show that around 30% of the population in Ukraine, but only 19% in Slovenia and 12% in Poland, view income equality as essential to democracy. 2 For example, only 2% to 4% of Slovaks participate in the stock market, but 8% in nearby Slovenia. Data are from the second wave of the ECB Household Finance and Consumption Survey. DOI: 10.1111/jofi.70006

LAUDENBACH - The Long-Lasting Effects of Experiencing Communism on Attitudes toward Financial.pdf

16. FinTech Lending and Cashless Payments

Authors: PULAK GHOSH, BORIS VALLEE, YAO ZENG

DOI: [10.1111/jofi.70003](https://doi.org/10.1111/jofi.70003)

Published: 2025-12-18

Fields & Theories:

- **Fields:** Financial Intermediation, FinTech, Information Economics, Household Finance
- **Theories:** Signaling Theory, Information Asymmetry, Screening, Moral Hazard

Abstract:

Borrowers' use of cashless payments improves their access to capital from FinTech lenders and predicts a lower probability of default. These relationships are stronger for cashless technologies providing more precise information, and for outflows. Cashless payment usage complements other signals of borrower quality. We rationalize these empirical findings using a framework in which borrowers signal their lower likelihood of diverting cash flows through payment technology choice, and screening accuracy is further strengthened by informational complementarities. The informa-

*Pulak Ghosh is with the Indian Institute of Management. Boris Vallee is with INSEAD and Harvard Business School. Yao Zeng is with the Wharton School

of the University of Pennsylvania and NBER. We are grateful to James Blume, Ding Ding, Jipeng Liu, and Dolly Yu for outstanding research assistance. We thank Wei Xiong (Editor); an Associate Editor; two anonymous referees; Franklin Allen; Paul Beaumont (discussant); Tobias Berg (discussant); Daniel Bjorkegren; Sylvain Catherine; Shawn Cole; William Cong (discussant); Ding Ding; Itamar Drechesler; Cesare Fracassi (discussant); Andreas Fuster; Manasa Gopal (discussant); Zhiguo He; Sasha Indarte; Soeren Karau (discussant); Amit Khandelwal (discussant); Elena Loutschina; Filippo Mezzanotti; Cecilia Parlatore; Thomas Philippon; Raghu Rajan; Uday Rajan (discussant); Huan Tang (discussant); Tiffany Tsai (discussant); Laura Veldkamp; Ansgar Walther (discussant); Aluna Wang (discussant); Haoxiang Zhu; and seminar and conference participants at Bank for International Settlements, City University of London, Columbia University, Dartmouth College, Federal Reserve Board, Harvard University, Hong Kong Baptist University, Hong Kong University of Science and Technology, IMF, Imperial College London, INSEAD, Luohan Academy, Monash University, National Taiwan University, Office of the Comptroller of the Currency, Ohio State University, Philadelphia Fed, Toulouse School of Economics, Tsinghua University, University of Florida, University of Lausanne, University of Pennsylvania, University of Technology Sydney, University of Toronto, University of Zurich, American Finance Association (AFA) Annual Meeting, Asian Bureau of Finance and Economic Research Webiner, China International Conference in Finance (CICF), European Finance Association (EFA) Annual Meeting, European Financial Data Institute Paris Meeting, Entrepreneurial Finance Association Conference, HEC Paris Entrepreneurship Conference, NBER Asset Pricing Meeting, Norges Bank-CEPR Banking Workshop, Review of Corporate Finance Studies (RCFS) Winter Conference, Texas Finance Festival, and World Bank Asia Economic Policy Network Conference for helpful comments. We thank Indifor providing us with access to their data. We have read The Journal of Finance disclosure policy and have no conflicts of interest to disclose. Correspondence: Boris Vallee, INSEAD; e-mail: boris.vallee@insead.edu This...

GHOSH - FinTech Lending and Cashless Payments.pdf

Review of Financial Studies

1. The Effect of Principal Reduction on Household Distress: Evidence from Mortgage Cramdown*

Authors: Jacelly Cespedes, Carlos Parra, Clemens Sialm

DOI: [10.1093/rfs/hhaf104](https://doi.org/10.1093/rfs/hhaf104)

Published: 2025-11-26

Fields & Theories:

- **Fields:** Household Finance, Real Estate Finance, Financial Intermediation, Public Finance
- **Theories:** Debt Overhang, Instrumental Variables, Mortgage Default Theory, Random Assignment

Abstract:

Mortgage cramdown enabled bankruptcy judges to discharge the underwater portion of a mortgage in a chapter 13 bankruptcy until the Supreme Court disallowed this practice in 1993. We investigate the impact of mortgage cramdown on household distress exploiting the random assignment of cases to judges. The impact of bankruptcy protection on foreclosures is reduced by more than half after the Supreme Court disallowed cramdown. Our results suggest that large principal reductions considerably decrease homeowners' distress by reducing debt overhang.

Cespedes - The Effect of Principal Reduction on Household Distress Evidence from Mortgage Cramdown.pdf

2. Bank Risk-Taking and the Real Economy: Evidence from the Housing Boom and Its Aftermath

Authors: Antonio Falato, Giovanni Favara, David Scharfstein

DOI: [10.1093/rfs/hhaf091](https://doi.org/10.1093/rfs/hhaf091)

Published: 2025-10-30

Fields & Theories:

- **Fields:** Corporate Finance, Financial Intermediation, Macro-Finance, Real Estate Finance
- **Theories:** Agency Theory, Short-termism, Managerial Incentives, Credit Cycle Theory

Abstract:

During the U.S. housing credit boom, publicly traded banks increased mortgage lending activity and relaxed standards much more than privately held banks. The increase in risk had real effects for a variety of county-level aggregates including employment and consumption. Cross-sectional evidence and a quasi-experiment indicate that the increase in risk stemmed from the institutional ownership and the equity compensation of publicly traded banks, in turn leading banks to place greater weight on short-term equity performance. These results are consistent with the view that a focus on short-term earnings and stock prices amplifies boom–bust credit cycles, in turn leading to real cycles for the aggregate economy.

Falato - Bank Risk-Taking and the Real Economy Evidence from the Housing Boom and Its Aft.pdf

3. Price and Volume Divergence in China's Real Estate Markets: The Role of Local Governments

Authors: Jeffery (Jinfan) Chang, Yuheng Wang, Wei Xiong

DOI: [10.1093/rfs/hhaf089](https://doi.org/10.1093/rfs/hhaf089)

Published: 2025-10-21

Fields & Theories:

- **Fields:** Real Estate Finance, Public Finance, International Finance
- **Theories:** Political Economy, Fiscal Constraints, Local Government Financing Vehicles (LGFVs), Supply Control

Abstract:

During the COVID-19 pandemic (2020-2022), Chinese cities witnessed a paradox: residential land and new house prices surged while transaction volumes plummeted. We attribute this to local governments' active price management through supply controls, land acquisitions by local government financing vehicles (LGFVs), and limits on new home sales permits. Cities more dependent on land sales and land-backed debt before the pandemic experienced greater price increases and price–volume divergence, with LGFVs buying more land at higher prices than other buyers. These interventions helped sustain fiscal financing but deepened developers' financial distress, revealing unintended consequences of local governments' fiscal strategies during downturns.

Chang - Price and Volume Divergence in China's Real Estate Markets The Role of Local Gov.pdf

4. What Problem Do Intermediaries Solve? Evidence From Real Estate Markets

Authors: Darren Aiello, Mark Garmaise, Taylor Nadauld

DOI: [10.1093/rfs/hhaf061](https://doi.org/10.1093/rfs/hhaf061)

Published: 2025-10-15

Fields & Theories:

- **Fields:** Real Estate Finance, Financial Intermediation, Market Microstructure
- **Theories:** Search Theory, Information Asymmetry, Intermediation Theory, Natural Experiment

Abstract:

We study intermediation in the housing market. Using data from an online platform utilized by real estate agents to generate leads, we identify exogenous intermediary attention arising from the quasi-randomized ordering of potential listings. Greater intermediary attention leads to an increased probability of listing with an agent and selling quickly, and a higher transaction price. The listing and transaction probabilities of neighboring properties decrease in intermediary attention. These results contrast sharply with endogenous correlations and provide causal evidence that intermediaries resolve property-level frictions deriving

from search, information, or behavioral considerations but do not mitigate neighborhood-level information asymmetries.

Aiello - What Problem Do Intermediaries Solve Evidence From Real Estate Markets.pdf

5. Understanding Rationality and Disagreement in House Price Expectations

Authors: Zigang Li, Stijn Van Nieuwerburgh, Wang Renxuan

DOI: [10.1093/rfs/hhaf073](https://doi.org/10.1093/rfs/hhaf073)

Published: 2025-09-18

Fields & Theories:

- **Fields:** Real Estate Finance, Household Finance, Asset Pricing
- **Theories:** Rational Learning, Information Asymmetry, Behavioral Frictions, Expectation Formation

Abstract:

Professional house price forecast data are consistent with a rational model where agents must learn about the parameters of the house price growth process and the underlying state of the housing market. Slow learning about the long-run mean generates overreaction to forecast revisions and a modest response of forecasts to lagged realizations. Heterogeneity in signals and priors about the long-run mean helps the model account for cross-sectional dispersion in forecasts. Introducing behavioral frictions helps improve the model's predictions for short-horizon overreaction and dispersion. Using a cross-section of forecasters and a term structure of forecasts are crucial for inference.

Li - Understanding Rationality and Disagreement in House Price Expectations.pdf

6. Falling Behind: Has Rising Inequality Fueled the American Debt Boom?

Authors: Moritz Drechsel-Grau, Fabian Greimel

DOI: [10.1093/rfs/hhaf062](https://doi.org/10.1093/rfs/hhaf062)

Published: 2025-09-16

Fields & Theories:

- **Fields:** Macro-Finance, Household Finance, Public Finance
- **Theories:** Social Comparison Theory, General Equilibrium, Relative Income Hypothesis, Asymmetric Preferences

Abstract:

This paper studies whether the interplay of social comparisons in housing and rising income inequality contributed to the household debt boom in the United States between 1980 and 2007. We develop a tractable macroeconomic model with general social comparisons in housing to show that changes in the distribution of income affect aggregate housing demand, aggregate debt, and house prices if (and only if) social comparisons are asymmetric. In the empirically relevant case of upward-looking comparisons, rising inequality can rationalize a substantial share of the observed housing and debt boom.

Drechsel-Grau - Falling Behind Has Rising Inequality Fueled the American Debt Boom.pdf

7. Agency MBS as Safe Assets

Authors: Zhiguo He, Zhaogang Song

DOI: [10.1093/rfs/hhaf052](https://doi.org/10.1093/rfs/hhaf052)

Published: 2025-07-22

Fields & Theories:

- **Fields:** Asset Pricing, Fixed Income, Financial Intermediation, Financial Regulation
- **Theories:** Convenience Yield, Safe Asset Theory, Prepayment Risk

Abstract:

Measured as yield spreads against Treasury securities and AAA corporate bonds, the convenience premium of newly issued agency MBS averages more than half of the long-term Treasury convenience premium. The agency MBS convenience premium and issuance amount vary negatively with mortgage rate, consistent with a prepayment-driven channel. Placing agencies into conservatorship in 2008 and introducing liquidity regulations in 2013 significantly affected MBS convenience premium, consistent with government guarantee and regulatory treatment channels. Analyses of dispersion of dealers' prepayment forecasts, seasoned MBS, and investors' MBS holdings deliver further economic implications for agency MBS as safe assets.

He - Agency MBS as Safe Assets.pdf

Journal of Financial and Quantitative Analysis

1. ETF Sampling and Index Arbitrage

Authors: Brogaard, Jonathan, Heath, Davidson, Huang, Da

DOI: [10.1017/S0022109025102378](https://doi.org/10.1017/S0022109025102378)

Published: 2025-11-05

Fields & Theories:

- **Fields:** Asset Pricing, Financial Intermediation, Market Microstructure
- **Theories:** Arbitrage, Liquidity, Instrumental Variables, Information Asymmetry

Abstract:

This article shows that exchange-traded funds (ETFs) "sample" their indexes, systematically underweighting or omitting illiquid index stocks. As a result, arbitrage activity between the ETF and its index has heterogeneous effects on underlying asset markets. Using an instrumental variables approach, we find that the trading activity of ETFs reduces liquidity and price efficiency and increases volatility and co-movement for liquid stocks but has no effect on illiquid stocks. Our results demonstrate that the effects of passive investing on asset markets depend on how passive funds replicate their target index. I.

Brogaard - ETF Sampling and Index Arbitrage.pdf

2. Price-Path Convexity and Short-Horizon Return Predictability

Authors: Gulen, Huseyin, Woepfel, Michael

DOI: [10.1017/S0022109025101725](https://doi.org/10.1017/S0022109025101725)

Published: 2025-06-20

Fields & Theories:

- **Fields:** Asset Pricing, Behavioral Finance
- **Theories:** Extrapolation Bias, Return Predictability, Representativeness Heuristic

Abstract:

We document a strong, negative relation between the curvature of stock price paths (i.e., price-path convexity) and future short-horizon returns at both the aggregate and firm levels. This relation obtains regardless of the cumulative return during the convexity estimation period. At the aggregate level, convexity is a better predictor of future returns than many commonly used predictors. At the firm level, this effect is not explained by known return predictors, microstructure frictions, or illiquidity. Using survey-based expectations of short-horizon returns, we show that the negative relation between convexity and future returns is driven in part by overextrapolation of past returns. I.

Gulen - Price-Path Convexity and Short-Horizon Return Predictability.pdf

3. Does Disagreement Facilitate Informed Trading?

Authors: Cookson, J. Anthony, Fos, Vyacheslav, Niessner, Marina

DOI: [10.1017/S0022109025101762](https://doi.org/10.1017/S0022109025101762)

Published: 2025-07-04

Fields & Theories:

- **Fields:** Market Microstructure, Behavioral Finance, Asset Pricing
- **Theories:** Informed Trading, Information Asymmetry, Investor Disagreement, Market Efficiency

Abstract:

Using high-frequency disagreement data from the investor social network StockTwits, we find that greater unsophisticated disagreement facilitates informed buying and selling. During periods of overvaluation, the facilitating effect of disagreement on trading is dampened for informed buyers but is amplified for informed sellers. These findings are unexplained by sentiment, news, and retail order flow, and they remain when we measure disagreement overnight and disagreement of technical investors, which alleviates the concern that disagreement and informed trading respond to a common shock. These findings suggest that informed traders respond meaningfully but differently to valuation changes induced by unsophisticated disagreement.

Cookson - Does Disagreement Facilitate Informed Trading.pdf

4. Tail Risk Around FOMC Announcements

Authors: Jacobs, Kris, Ke, Sai, Pan, Xuhui (Nick)

DOI: [10.1017/S0022109025101828](https://doi.org/10.1017/S0022109025101828)

Published: 2025-08-11

Fields & Theories:

- **Fields:** Asset Pricing, Monetary Policy, Derivatives, Tail Risk
- **Theories:** Market Risk Premium, Rational Expectations, Predictive Regressions, Risk-Neutral Moments

Abstract:

Predictive regressions of market returns on option-implied moments measured before pre-scheduled FOMC meetings show that tail risks play an important role in understanding the market risk premium around FOMC announcement days. Skewness and kurtosis, which capture investors' expectations of the tails of the return distribution, robustly predict post-FOMC returns both in-sample and out-of-sample. The predictability lasts up to 1 week and is stronger for expansionary monetary policy shocks. The signs of the corresponding risk premiums are consistent with economic intuition, illustrating the role of periods with high risk premiums to confirm theoretical predictions.

Jacobs - Tail Risk Around FOMC Announcements.pdf

5. Labor Market Power and Financial Leverage: Evidence from Online Job Postings

Authors: Bai, John (Jianqiu), Massa, Massimo, Wan, Chi, Wang, Yan

DOI: [10.1017/S0022109025101816](https://doi.org/10.1017/S0022109025101816)

Published: 2025-08-15

Fields & Theories:

- **Fields:** Corporate Finance, Labor Finance, Industrial Organization
- **Theories:** Capital Structure, Difference-in-Differences, Bargaining Theory, Natural Experiment

Abstract:

Using the near universe of online job postings from 2007 to 2021, we construct a firm-level metric of labor market power. We find that firms with higher labor market power tend to have higher financial leverage. Our findings are not driven by product market competition or correlated labor market characteristics. The evidence is less pronounced among firms hiring in occupations with high labor mobility and skill transferability. To establish causality, we exploit the establishment of Amazon HQ2 in Crystal City as a shock to the labor market power of local firms and show consistent findings with our baseline results. I.

Bai - Labor Market Power and Financial Leverage Evidence from Online Job Postings.pdf

6. Institutional Cross-Ownership of Peer Firms and Revelatory Price Efficiency

Authors: Cho, Young Jun, Yang, Holly, Zhao, Yue

DOI: [10.1017/S0022109025101646](https://doi.org/10.1017/S0022109025101646)

Published: 2025-08-12

Fields & Theories:

- **Fields:** Corporate Finance, Financial Intermediation, Information Economics
- **Theories:** Revelatory Price Efficiency, Information Asymmetry, Q-Theory of Investment, Feedback Effect

Abstract:

We argue that cross-ownership increases the amount of private information in stock prices, enhancing the ability of stock prices to provide feedback to managers. Consistent with this argument, we find greater cross-ownership heightens a firm's investment-q sensitivity. This effect is stronger for firms with a lower propensity for voluntary disclosure and for firms whose managers hold less private information. Furthermore, we find that cross-ownership is negatively associated with the sensitivity of a firm's investment to its peers' stock prices. Additionally, cross-ownership has a stronger impact on the investment-q sensitivity when measured among investors who trade more actively in the firm's shares. By using financial institution mergers as an identification strategy, we strengthen the causal inference. Overall, our results suggest that cross-ownership helps increase revelatory price efficiency (RPE), potentially leading to more efficient corporate decisions. I.

Cho - Institutional Cross-Ownership of Peer Firms and Revelatory Price Efficiency.pdf

7. The Industry Expertise Channel in Mortgage Lending

Authors: Chu, Yongqiang, Xiao, Zhanbing, Zheng, Yuxiang

DOI: [10.1017/S002210902510210X](https://doi.org/10.1017/S002210902510210X)

Published: 2025-09-02

Fields & Theories:

- **Fields:** Financial Intermediation, Banking, Real Estate Finance
- **Theories:** Information Asymmetry, Soft Information, Relationship Banking, Information Production

Abstract:

We show that banks use industry knowledge acquired through corporate lending in mortgage lending, a phenomenon we refer to as the "industry expertise channel." Specifically, banks that specialize in particular industries expand their mortgage lending activity in regions where those industries are concentrated. The impact of industry expertise increases with information asymmetry and borrower risk. In addition, mortgages originated from this channel contain more soft information and perform better. The effect of the channel increases after unexpected industry distress and the 2008 financial crisis, suggesting that the effect is likely causal. I.

Chu - The Industry Expertise Channel in Mortgage Lending.pdf

8. Mutual Fund Trading, Fund Flows, and ESG Portfolios

Authors: Albuquerque, Rui, Koskinen, Yrjö, Santioni, Raffaele

DOI: [10.1017/S0022109025101841](https://doi.org/10.1017/S0022109025101841)

Published: 2025-08-11

Fields & Theories:

- **Fields:** Financial Intermediation, ESG/Sustainable Finance, Asset Pricing, Behavioral Finance
- **Theories:** Clientele Effect, Flow-Performance Relationship, Liquidity Management, Portfolio Selection

Abstract:

This article studies how ESG and conventional mutual funds trade stocks during the COVID-19 crash. Both fund types trade individual stocks similarly: Net purchases of ESG stocks are less sensitive than other stocks to fund flows pre-crash, but sensitivities increase for all stocks during the crash. In contrast, ESG funds' aggregate net purchases are less sensitive than those of conventional funds during the crash. This difference is due to ESG funds' portfolio tilt toward the less flow-sensitive ESG stocks. There is no evidence of an ESG clientele effect in trading decisions, as both fund types trade individual stocks similarly. I.

Albuquerque - Mutual Fund Trading, Fund Flows, and ESG Portfolios.pdf

9. Foreign Capital in the Chinese Stock Market: A Firm-Level Study

Authors: Lundblad, Christian T., Shi, Donghui, Zhang, Xiaoyan, Zhang, Zijian

DOI: [10.1017/S0022109025102081](https://doi.org/10.1017/S0022109025102081)

Published: 2025-09-02

Fields & Theories:

- **Fields:** Asset Pricing, International Finance, Market Microstructure, Emerging Markets
- **Theories:** Informed Trading, Information Asymmetry, Return Predictability, Price Discovery

Abstract:

Using a proprietary data set covering all foreign investors' daily trades in the Chinese stock market from 2016 to 2019, we find that foreign order flows, facilitated by regulatory liberalization through several channels, present strong predictive power for future stock returns, implying that these order flows are likely informed. We track the source of this informativeness and find that foreign order flows significantly predict firm-level news and news-day returns, suggesting that foreign investors can effectively process local firm information. Finally, we find that regulatory reforms that generally relax investment access requirements further improve foreign investors' predictive power. I.

Lundblad - Foreign Capital in the Chinese Stock Market A Firm-Level Study.pdf

10. Evaluating Selection Bias in Early-Stage Investment Returns

Authors: Kisseleva, Katja, Mjøs, Aksel, Robinson, David T.

DOI: [10.1017/S0022109025101701](https://doi.org/10.1017/S0022109025101701)

Published: 2025-09-08

Fields & Theories:

- **Fields:** Corporate Finance, Venture Capital, Entrepreneurial Finance
- **Theories:** Selection Bias, Sample Selection, Valuation Premium, Benchmarking

Abstract:

This article investigates sample selection bias in early-stage investment. We use comprehensive administrative data on the universe of new firm starts in Norway, allowing us to compare venture-backed firms with ex ante similar firms that do not receive venture funding. The valuation premium for venture backing is sizeable at firm birth and doubles over the first 5 years, implying a substantial upward bias in venture capital (VC) returns relative to comparable firms. In contrast, the premium for firms receiving multiple rounds of outside equity emerges only after the first year and remains significantly smaller than the VC premium throughout the firm life cycle. I.

Kisseleva - Evaluating Selection Bias in Early-Stage Investment Returns.pdf

11. Optimal Ownership and Capital Structure with Agency Conflicts

Authors: Hu, Yunzhi, Yang, Zhaojun, Zhu, Nanhui

DOI: [10.1017/S0022109025101671](https://doi.org/10.1017/S0022109025101671)

Published: 2025-11-19

Fields & Theories:

- **Fields:** Corporate Finance, Financial Intermediation
- **Theories:** Agency Theory, Trade-off Theory, Optimal Capital Structure, Moral Hazard

Abstract:

We develop a continuous-time model examining agency conflicts among controlling shareholders (managers), minority shareholders, and creditors in corporate investment decisions. The manager's private benefits encourage overinvestment, while their equity stake and debt overhang lead to underinvestment. We show these offsetting incentive effects can achieve optimal investment timing under certain conditions. Agency costs exhibit U-shaped relationships with private benefits, tax rates, volatility, managerial ownership, and leverage. The model reveals how the interplay among agency conflicts, tax benefits, and bankruptcy costs shapes optimal ownership and capital structure, explaining several documented empirical patterns in corporate finance. I.

Hu - Optimal Ownership and Capital Structure with Agency Conflicts.pdf

12. Real(istic) Time-Varying Probability of Consumption Disasters

Authors: Huang, Xiaoyu, Jin, Tao, Zhou, Hao

DOI: [10.1017/S0022109025101853](https://doi.org/10.1017/S0022109025101853)

Published: 2025-11-24

Fields & Theories:

- **Fields:** Asset Pricing, Macro-Finance, International Finance
- **Theories:** Rare Disaster Risk, Equity Premium Puzzle, General Equilibrium, Time-Varying Risk

Abstract:

We model the time-varying probability of consumption disasters with international risk interactions and estimate the model using national accounts data of 42 countries back to 1833. The estimated world and country-specific disaster probabilities accord well with historical macroeconomic disasters. A match of the equity premium requires a relative risk aversion coefficient of approximately 5, which is significantly lower than previous estimates. Furthermore, the model provides notably better fits for equity volatility compared with alternative rare-disaster models. Finally, the disaster probability index estimated from the model demonstrates significant out-of-sample predictive power over long horizons, performing well not only over time but also across countries. I.

Huang - Real(istic) Time-Varying Probability of Consumption Disasters.pdf

13. Ethnic Diversity and Corporate Interstate Investments

Authors: Mao, Ying, Wang, Zheng, Zou, Hong

DOI: [10.1017/S0022109025102202](https://doi.org/10.1017/S0022109025102202)

Published: 2025-09-29

Fields & Theories:

- **Fields:** Corporate Finance, Labor and Finance, ESG/Sustainable Finance
- **Theories:** Diversity-Innovation Hypothesis, Human Capital Theory, Geographic Location Choice

Abstract:

We document that firms prefer counties with higher ethnic diversity in locating their inter- state investments, especially for those pursuing innovation, seeking to establish service centers, or managing a diverse workforce. We also find some evidence that interstate investment in high ethnic diversity locations results in increased patent applications, sales growth, positive media coverage, and overall operating performance. Taken together, we show that firms prefer to invest in ethnically diverse locations as they recognize the potential benefits of leveraging a diverse labor supply, such as enhancing problem-solving, innovation, and performance. We must recognize that difference is a reason for celebration and growth, rather than a reason for destruction. (Audre Lorde) I.

Mao - Ethnic Diversity and Corporate Interstate Investments.pdf

14. Winning Teams or Winning Pay? The Impact of Team Allocation on Fund Manager Compensation and Careers

Authors: Han, Lu, Ben Naim, Galit, Sokolinski, Stanislav

DOI: [10.1017/S0022109025101713](https://doi.org/10.1017/S0022109025101713)

Published: 2025-06-19

Fields & Theories:

- **Fields:** Financial Intermediation, Asset Management, Labor Finance, Corporate Finance
- **Theories:** Human Capital Theory, Career Concerns, Agency Theory, Contracting Theory

Abstract:

We examine how team allocation shapes mutual fund managers' compensation as well as their future productivity and careers. Assignment to a high-quality team lowers immediate compensation but accelerates career development—sharpening investment skill, boosting media visibility, deepening industry and style specialization, and raising future revenue. Team quality also raises promotion odds and explains the steep, tenure-based earnings profile common in asset management. Team allocation therefore acts as a career-steering mechanism embedded in fund-family compensation contracts. I.

Han - Winning Teams or Winning Pay The Impact of Team Allocation on Fund Manager Compe.pdf

15. Default Costs and Repayment of Underwater Mortgages

Authors: Brueckner, Jan K., Conklin, James N., Coulson, N. Edward, Diop, Moussa

DOI: [10.1017/S0022109025101774](https://doi.org/10.1017/S0022109025101774)

Published: 2025-07-11

Fields & Theories:

- **Fields:** Household Finance, Real Estate Finance, Credit Risk
- **Theories:** Default Theory, Liquidity Constraints, Strategic Default, Cost-Benefit Analysis

Abstract:

We explore an overlooked phenomenon in mortgage markets: repayment of underwater mortgages. Using a sample of mortgages terminated between 2007 and 2016, we show that such repayment indeed occurs,

and that it is affected by the same factors commonly used in studies of default: the magnitude of home equity and the borrower's credit score, which captures default cost as well as liquidity. A novel insight is that underwater repayers, unlike most defaulters, are not liquidity constrained, providing a much cleaner environment to study default costs. We estimate lower bounds on these costs. Our results indicate that default costs are substantial. I.

Brueckner - Default Costs and Repayment of Underwater Mortgages.pdf

Journal of Financial Economics

1. Face-to-face social interactions and local informational advantage

Authors: Robin Y. Lee

DOI: [10.1016/j.jfineco.2026.104280](https://doi.org/10.1016/j.jfineco.2026.104280)

Published: 2026-06-01

Fields & Theories:

- **Fields:** Asset Pricing, Financial Intermediation, Asset Management, Behavioral Finance
- **Theories:** Information Asymmetry, Soft Information, Natural Experiment, Social Capital

Abstract:

This paper examines the causal role of face-to-face (F2F) interactions in generating local informational advantages for mutual fund managers. Using COVID-19 lockdowns as an exogenous shock, I show that fund managers' performance on local stocks declined relative to distant stocks when in-person meetings were curtailed, driven by impaired investment timing rather than changes in firm fundamentals. I investigate two distinct benefits of F2F interactions arising from interpersonal cues: trust-building, which enhances the transmission of soft information, and impression management, which facilitates the transmission of favorable information. The results cannot be fully explained by changes in internal information flows or the use of public information, and are more pronounced for stocks in less transparent information environments and in regions with stronger social traits.

Lee - Face-to-face social interactions and local informational advantage.pdf

2. Dual peer effects and cross-stock predictability

Authors: Doron Avramov, Shuyi Ge, Shaoran Li, Oliver Linton

DOI: [10.1016/j.jfineco.2026.104274](https://doi.org/10.1016/j.jfineco.2026.104274)

Published: 2026-06-01

Fields & Theories:

- **Fields:** Asset Pricing, Behavioral Finance, Information Economics
- **Theories:** Limited Investor Attention, Momentum, Information Diffusion, Factor Models

Abstract:

Identifying firm connections by shared analyst coverage, we find that a connected-firm (CF) momentum factor generates a monthly alpha of 1.68% ($t = 9.67$). In spanning regressions, the alphas of industry, geographic, customer, customer/supplier industry, single- to multi- segment, and technology momentum factors are insignificant/negative after controlling for CF momentum. Similar results hold in cross-sectional regressions and in developed inter- national markets. Sell-side analysts incorporate news about linked firms sluggishly. These effects are stronger for complex and indirect linkages. Consistent with limited investor attention, these results indicate that momentum spillover effects are a unified phenomenon that is captured by shared analyst coverage. Published by Elsevier B.V.

Avramov - Dual peer effects and cross-stock predictability.pdf

3. Market feedback: Evidence from the horse' s mouth

Authors: Itay Goldstein, Bibo Liu, Liyan Yang

DOI: [10.1016/j.jfineco.2026.104255](https://doi.org/10.1016/j.jfineco.2026.104255)

Published: 2026-06-01

Fields & Theories:

- **Fields:** Corporate Finance, Market Microstructure, Financial Intermediation, Financial Regulation
- **Theories:** Information Asymmetry, Regression Discontinuity, Agency Theory, Monitoring

Abstract:

We examine the effects of institutional ownership on firms' information and trading environments using the annual Russell 1000/2000 index reconstitution. Characteristics of firms near the index cutoffs are similar, except that firms in the top of the Russell 2000 have discontinuously higher proportional institutional ownership than firms in the bottom of the Russell 1000 primarily due to indexing and benchmarking strategies. We find that higher institutional ownership is associated with greater management disclosure, analyst following, and liquidity, resulting in lower information asymmetry. Overall, indexing institutions' predilection for lower information asymmetries facilitates information production, which enhances monitoring and decreases trading costs. © 2015 Elsevier B.V. All rights reserved.

Goldstein - Market feedback Evidence from the horses mouth.pdf

4. Innovation spillovers across U.S. tech clusters

Authors: Xavier Giroud, Ernest Liu, Holger Mueller

DOI: [10.2139/ssrn.4894671](https://doi.org/10.2139/ssrn.4894671)

Published: 2026-05-01

Fields & Theories:

- **Fields:** Financial Intermediation, Corporate Finance, Banking, Innovation
- **Theories:** Difference-in-Differences, Credit Risk Diversification, Information Asymmetry

Abstract:

We present evidence that banking development plays a key role in technological progress. We focus on manufacturing firms' innovative performance, measured by patent-based metrics, and employ exogenous variations in banking development arising from the staggered deregulation of banking activities across US states during the 1980s and 1990s. We find that interstate banking deregulation had significant beneficial effects on the quantity and quality of innovation activities, especially for firms highly dependent on external capital and located closer to entering banks. Furthermore, we find that these results are strongly driven by a greater ability of deregulated banks to geographically diversify credit risk. © 2013 Elsevier B.V. All rights reserved. The banker [...] has either replaced private capitalists or become their agent; he has himself become the capitalist par excellence. He stands between those who wish to form new combinations and the possessors of productive means. He is essentially a phenomenon of development, though only when no central authority directs the social process. Schumpeter (1911).

Giroud - Innovation spillovers across U.S. tech clusters.pdf

5. Liquidity characteristics of market anomalies and institutional trading

Authors: Charles Cao, Bing Liang, Tong Yao, Andrew Zhang

DOI: [10.1016/j.jfineco.2026.104254](https://doi.org/10.1016/j.jfineco.2026.104254)

Published: 2026-05-01

Fields & Theories:

- **Fields:** Asset Pricing, Market Microstructure
- **Theories:** Liquidity-adjusted CAPM, General Equilibrium, Rational Expectations

Abstract:

This paper solves explicitly a simple equilibrium model with liquidity risk. In our liquidity-adjusted capital asset pricing model, a security's required return depends on its expected liquidity as well as on the covariances of its own return and liquidity with the market return and liquidity. In addition, a persistent negative shock to a security's liquidity results in low contemporaneous returns and high predicted future returns. The model provides a unified framework for understanding the various channels through which liquidity risk may affect asset prices. Our empirical results shed light on the total and relative economic significance of these channels and provide evidence of flight to liquidity. © 2005 Elsevier B.V. All rights reserved.

Cao - Liquidity characteristics of market anomalies and institutional trading.pdf

6. Intervening against the Fed

Authors: Alexander Rodnyansky, Yannick Timmer, Naoki Yago

DOI: [10.1016/j.jfineco.2026.104265](https://doi.org/10.1016/j.jfineco.2026.104265)

Published: 2026-05-01

Fields & Theories:

- **Fields:** International Finance, Monetary Policy, Asset Pricing
- **Theories:** Balance Sheet Channel, Risk Premium, Portfolio Balance Theory

Abstract:

This paper studies the effectiveness and mechanism of foreign exchange interventions (FXIs) for mitigating US monetary policy spillovers. Without interventions, contractionary US monetary policy shocks trigger foreign exchange depreciations, raise risk premiums, and induce portfolio outflows, thereby reducing foreign stock prices. The stock prices of firms with US dollar debt decline significantly more, indicating a strong role for a balance sheet channel. However, 'intervening against the Fed' stabilizes exchange rate depreciations, the risk premium, and portfolio flows. FXIs also disproportionately cushion the reduction in stock prices for firms with US dollar debt, muting the balance sheet channel of exchange rates.

Rodnyansky - Intervening against the Fed.pdf

7. Partial homeownership: A quantitative analysis

Authors: Eirik Eylands Brandsaas, Jens Soerlie Kvaerner

DOI: [10.17016/feds.2024.070](https://doi.org/10.17016/feds.2024.070)

Published: 2026-05-01

Fields & Theories:

- **Fields:** Household Finance, Real Estate Finance
- **Theories:** Life-cycle Model, Quantitative Analysis, Financial Stability

Abstract:

Partial Ownership (PO), which allows households to buy a fraction of a home and rent the remainder, is increasing in many countries with housing affordability challenges. We incorporate an existing for-profit PO contract into a life-cycle model to quantify its impact on homeownership, households' welfare, and its implications for financial stability. We have the following results: 1) PO increases homeownership rates. 2) Willingness to pay increases with housing unaffordability and is highest among low-income and renting households. 3) PO increases aggregate debt as renters become partial owners but also reduces the average leverage ratios as indebted homeowners become partial owners.

Brandsaas - Partial homeownership A quantitative analysis.pdf

8. Which investors drive anomaly returns and how?

Authors: Yizhang Li, Stanislaw Sokolinski, Andrea Tamoni

DOI: [10.2139/ssrn.4242745](https://doi.org/10.2139/ssrn.4242745)

Published: 2026-05-01

Fields & Theories:

- **Fields:** Asset Pricing, Behavioral Finance, Financial Intermediation
- **Theories:** Limits to Arbitrage, Institutional Trading, Mispricing

Abstract:

We investigate the dual notions that “dumb money” exacerbates well-known stock return anomalies and “smart money” attenuates these anomalies. We find that aggregate flows to mutual funds (dumb money) appear to exacerbate cross-sectional mispricing, particularly for growth, accrual, and momentum anomalies. In contrast, hedge fund flows (smart money) appear to attenuate aggregate mispricing. Our results suggest that aggregate flows to mutual funds can have real adverse allocation effects in the stock market and that aggregate flows to hedge funds contribute to the correction of cross-sectional mispricing. © 2015 Elsevier B.V. All rights reserved.

Li - Which investors drive anomaly returns and how.pdf

Review of Finance

1. Biodiversity and natural resource finance

DOI: [10.1093/rof/rfaf074](https://doi.org/10.1093/rof/rfaf074)

Published: 2026-01-16

Fields & Theories:

- **Fields:** Sustainable Finance, Natural Resource Finance, Financial Intermediation, Public Finance
- **Theories:** Financing Gap, Public-Private Partnership, Environmental Externalities

Abstract:

Nature risk has become recognized as a major issue for worldwide economies. Between 2020 and 2024, private finance for nature surged elevenfold to over \$100 billion, and the United Nations Environment Programme (UNEP) estimated that there could be a further increase by 2030 to \$1.45 trillion.¹¹ Regrettably, the 2024 United Nations Biodiversity Conference of the Parties (COP16) in Cali, Colombia, did not reach a conclusion on funding. Discussions were deferred to 2025 in Rome, Italy, when participating nations eventually agreed to provide developing countries with \$200 billion a year to finance conservation efforts until 2030. However, there is a growing awareness of the importance of the need for the private sector to step forward, and private finance will be needed to close the financing gap.

Dimson - Biodiversity and natural resource finance.pdf

2. The value of guarantor monitoring: evidence from bond defaults in China

DOI: [10.1093/rof/rfaf067](https://doi.org/10.1093/rof/rfaf067)

Published: 2025-12-08

Fields & Theories:

- **Fields:** Corporate Finance, Financial Intermediation, Credit Risk, Fixed Income
- **Theories:** Agency Theory, Delegated Monitoring, Moral Hazard, Information Asymmetry

Abstract:

Using a bond–year panel dataset, we show that external credit guarantors can mitigate default risk in the corporate bond market, and the observed effects cannot be fully attributed to pre-issuance screening. Consistent with a monitoring channel, we explore the post-issuance dynamics and find that the risk-reduction

effect of guarantees is significantly stronger when guarantors face greater risk exposure or when issuers experience post-issuance financial deterioration. We further demonstrate that guarantees act as substitutes for covenant-based monitoring and promote disciplined firm behavior: Guaranteed firms exhibit reduced risk-taking, reflected in lower levels of overinvestment and excessive leverage. Together, these findings underscore the delegated monitoring role of guarantors in mitigating agency conflicts between issuers and investors in public debt markets.

Gao - The value of guarantor monitoring evidence from bond defaults in China.pdf

3. Do investors care about the rainforest? Evidence from voluntary carbon offsets around the world

DOI: [10.1093/rof/rfaf059](https://doi.org/10.1093/rof/rfaf059)

Published: 2025-11-25

Fields & Theories:

- **Fields:** Asset Pricing, Sustainable Finance, Environmental Finance
- **Theories:** Efficient Market Hypothesis, Event Study, Signaling Theory, Information Asymmetry

Abstract:

We explore how investors react to firms' biodiversity-focused activities in the Voluntary Carbon Market. The average stock price reaction of forestry carbon offsetting with and without biodiversity impact is not significantly different from zero until the end of 2022. Following a Guardian article claiming rainforest carbon offsets to be "worthless" in January 2023, the announcement returns to carbon credit retirements turned significantly negative. This effect is not significant for carbon credits contributing to biodiversity conservation certified by the Climate, Community & Biodiversity (CCB) Standard, but it is significantly negative for other credits. Our results show that investors care about both the biodiversity impact of carbon credits as well as the climate-change mitigation integrity of offsetting activities.

Allen - Do investors care about the rainforest Evidence from voluntary carbon offsets.pdf

4. Corporate nature risk perceptions

DOI: [10.1093/rof/rfaf050](https://doi.org/10.1093/rof/rfaf050)

Published: 2025-11-12

Fields & Theories:

- **Fields:** Corporate Finance, Sustainable Finance, Asset Management
- **Theories:** Survey Methodology, Financial Materiality, Agency Theory, Stakeholder Engagement

Abstract:

We survey portfolio companies of a large asset owner to explore the evolving landscape of nature risks. Nearly half of all companies (48 percent) view nature risks as financially material, and 43 percent of those perceive nature-related physical risks, and 27 percent transition risks, as having financial effects already today. Three-quarters of companies experiencing nature-related investor engagement view these interactions as value-generating. Nonetheless, according to the respondents, investor attention remains limited in key respects: while 40 percent report that investors consider nature risks, fewer than 25 percent believe investors assess how these risks affect cashflows or costs of capital. Half of the respondents believe investors will prioritize climate over nature; however, many think both topics are so intertwined that they cannot be separated. Our findings underscore the growing recognition of nature risks as financially relevant, while also pointing to challenges and opportunities for their integration into financial analysis and investor engagement.

Gjerde - Corporate nature risk perceptions.pdf

5. The pricing of biodiversity risk in commodity markets

DOI: [10.1093/rof/rfaf068](https://doi.org/10.1093/rof/rfaf068)

Published: 2025-11-06

Fields & Theories:

- **Fields:** Asset Pricing, Sustainable Finance, Commodity Markets
- **Theories:** Risk Premium, Factor Models, Event Study, Transition Risk

Abstract:

This article provides empirical evidence that biodiversity-related transition risk is priced in global commodity markets, with particular emphasis on agricultural commodities. Using intensity-based metrics of species loss per harvested land unit, we obtain empirical evidence that commodities with higher biodiversity footprints earn significant risk premia, after controlling for commodity-specific factors. An event study around the Kunming Declaration further shows that commodities associated with greater biodiversity risk experienced negative abnormal returns following the declaration. In an aggregate-level analysis, we additionally find that commodities with higher sensitivity (beta) to biodiversity shocks earn significantly higher excess returns, reinforcing the presence of a biodiversity-related risk premium across global commodity markets. Our findings suggest that investors are increasingly internalizing the biodiversity-related risks at the commodity-asset level. The findings can be rationalized by a commodity production model, which we outline in Section 5.

Guidolin - The pricing of biodiversity risk in commodity markets.pdf

6. Firm-level nature dependence

DOI: [10.1093/rof/rfaf069](https://doi.org/10.1093/rof/rfaf069)

Published: 2025-11-06

Fields & Theories:

- **Fields:** ESG/Sustainable Finance, Corporate Finance, Risk Management
- **Theories:** Physical Risk, Information Asymmetry, Disclosure Theory

Abstract:

We construct firm-level measures of dependence on ecosystem services (NatureDep scores) for 31,772 listed firms in 117 countries between 2010 and 2023, combining the Exploring Natural Capital Opportunities, Risks, and Exposure (ENCORE) database with firm-level revenue information. The scores capture exposure to physical nature risks, with financial effects additionally depending on the deterioration of ecosystem services. NatureDep scores positively correlate with impact on biodiversity, are unrelated to nature-related actions disclosed in the Carbon Disclosure Project (CDP) survey, are not reflected in firms' corporate disclosures, and predict BlackRock's biodiversity-related engagements. We employ the scores in two applications. First, the scores relate positively to measures of downside risk, with effects stemming mostly from high dependencies on water-related ecosystem services. Second, the scores predict nature-related incidents that arise when high nature dependence leads firms to damage nature, overuse resources, or trigger disputes with local communities. We conclude that investors started to pay attention to nature dependence, while corporate action and disclosure remain limited.

Garel - Firm-level nature dependence.pdf

7. Does financing biodiversity reduce biodiversity loss? Evidence from EU funding of science and innovation

Authors: Andre Poyser

DOI: [10.1093/rof/rfaf064](https://doi.org/10.1093/rof/rfaf064)

Published: 2025-11-05

Fields & Theories:

- **Fields:** Public Finance, Sustainable Finance, Financial Intermediation

- **Theories:** Dynamic Difference-in-Differences, Program Evaluation, Incentive Alignment

Abstract:

Recent calls for greater private capital in biodiversity finance often overlook the question of effectiveness. This article interrogates the assumption that the increased financing being called for directly reduces species-level loss. Using data on European Union-funded projects across twenty-six countries over two decades, I discover that conservation funding has been most effective in supporting forest preservation, but largely ineffective for other ecological-based measures of biodiversity. Applying a dynamic difference-in-differences framework, I show that conservation funding generally yields minimal ecological gains. In contrast, funding for biodiversity research expands biodiversity data coverage, though additional investment produces little marginal improvement. A geospatial analysis of bird sightings reveals delayed and spatially dependent impacts on avian biodiversity near funded projects. Additionally, I explore biotechnology-related biodiversity projects as a channel for private investment. These projects generate patents and genetic resources that can be commercialized, suggesting pathways for aligning biodiversity outcomes with investor incentives.

Poyser - Does financing biodiversity reduce biodiversity loss Evidence from EU funding.pdf

8. Biodiversity risk

DOI: [10.1093/rof/rfaf063](https://doi.org/10.1093/rof/rfaf063)

Published: 2025-10-30

Fields & Theories:

- **Fields:** Asset Pricing, ESG/Sustainable Finance, Information Economics
- **Theories:** Efficient Market Hypothesis, Factor Models, Textual Analysis, Survey Methodology

Abstract:

We explore the effects of physical and regulatory risks related to biodiversity loss on asset values. We first develop a news-based measure of aggregate biodiversity risk and analyze how it varies over time. We also construct and publicly release several firm- and industry-level measures of exposure to biodiversity risk, based on (1) textual analyses of firms' 10-K statements, (2) the holdings of biodiversity-related funds, (3) firms' responses to a questionnaire fielded by the Carbon Disclosure Project, and (4) a large survey of finance professionals, regulators, and academics. Exposures to biodiversity risk vary substantially across industries in a way that is economically sensible and distinct from exposures to climate risk. We find evidence that biodiversity risks already affect equity prices: returns of portfolios that are sorted on our measures of biodiversity risk exposure covary with innovations in the aggregate biodiversity risk index. However, our survey indicates that market participants do not perceive the current pricing of biodiversity risks in equity markets to be adequate.

Giglio - Biodiversity risk.pdf

9. Financial value of nature: coastal housing markets, mangroves, and climate resilience

DOI: [10.1093/rof/rfaf061](https://doi.org/10.1093/rof/rfaf061)

Published: 2025-10-27

Fields & Theories:

- **Fields:** Real Estate Finance, Climate Finance, Sustainable Finance
- **Theories:** Hedonic Pricing, Natural Experiment, Risk Mitigation

Abstract:

Measuring the financial value of nature is difficult, often resulting in insufficient funding directed to nature conservation and restoration. As coastal risks increase due to development and climate change, a tangible benefit of nature is the protection it offers against storm damage. Many studies from the risk industry and others assess the direct effects of wetlands for reducing damage during storms. However, the value of wetlands for coastal protection could extend to many other benefits, including home prices in areas where

storms are common. We use property-level housing transaction data from Zillow and show that proximity to mangroves in Florida moderates home price decline and dispersion following major hurricanes. The effects are substantial in magnitude, reducing the probability of losing a quarter or more of the housing value by 2–7 percentage points, which corresponds to 20–40-thousand-dollar value for a million-dollar property, conditional on a hurricane.

Liu - Financial value of nature coastal housing markets mangroves and climate resilience.pdf

10. The real effects of protecting biodiversity

DOI: [10.1093/rof/rfaf055](https://doi.org/10.1093/rof/rfaf055)

Published: 2025-10-27

Fields & Theories:

- **Fields:** Corporate Finance, Financial Regulation, ESG/Sustainable Finance
- **Theories:** Regulatory Risk, Real Effects, Operational Risk

Abstract:

Protected areas are a central instrument in biodiversity conservation. However, their broader implications for corporate behavior and financial performance remain underexplored. This study examines how proximity to newly designated protected areas shapes establishment-level environmental, operational, and financial outcomes from 1990 to 2021. We find that nearby establishments significantly reduce toxic emissions, driven not by cleaner technologies but by production cutbacks and workforce contraction. Exploratory evidence suggests that heightened regulatory oversight may be one channel that constrains operations and is associated with lower profitability and market value. These results underscore the environmental benefits of conservation but also reveal the material costs imposed on affected firms. As global conservation initiatives expand, our findings show that biodiversity-related regulatory exposure constitutes a material financial risk that should be incorporated into policy design, corporate strategy, and capital allocation decisions.

Akbari - The real effects of protecting biodiversity.pdf

11. Biodiversity entrepreneurship

DOI: [10.1093/rof/rfaf062](https://doi.org/10.1093/rof/rfaf062)

Published: 2025-10-27

Fields & Theories:

- **Fields:** Entrepreneurial Finance, ESG/Sustainable Finance, Venture Capital
- **Theories:** Impact Investing, Information Asymmetry, Signaling Theory

Abstract:

We study an emerging class of startup organizations focused on biodiversity conservation and the challenges they face in financing these ventures. By fine-tuning a large language model, we identify 630 biodiversity-linked startups in PitchBook and compare their financing dynamics with those of other ventures. Biodiversity startups raise less capital but attract a broader coalition of investors, including not only venture capitalists (“value investors”) but also mission-aligned impact funds and public institutions (“values investors”). Values investors provide incremental capital rather than substituting value investors, but funding gaps persist. We show biodiversity-linked startups use social media (Twitter) activity to help connect with value investors. Our findings can inform policy and practice for mobilizing private capital toward biodiversity preservation, emphasizing hybrid financing models and strategic communication.

Cao - Biodiversity entrepreneurship.pdf

12. Biodiversity and local asset values

DOI: [10.1093/rof/rfaf051](https://doi.org/10.1093/rof/rfaf051)

Published: 2025-10-14

Fields & Theories:

- **Fields:** Real Estate Finance, ESG/Sustainable Finance, Asset Pricing
- **Theories:** Hedonic Pricing, Natural Capital Theory, Amenity Value

Abstract:

We provide a national-scale benchmark on how biodiversity is priced in local assets in the United States. Property prices increase with local biodiversity loss, likely reflecting development-driven monetization. In contrast, at the regional level, greater species richness correlates with higher asset values, indicating that remaining regional biodiversity is viewed as an amenity. Over time, the premium from biodiversity loss weakens, while the valuation of regional biodiversity strengthens. The link between biodiversity and property prices is higher when public attention to biodiversity is high. Together, these results highlight a shift in market preferences: biodiversity is increasingly recognized and priced as natural capital since the turn of the century. This evidence shows how ecological conditions are capitalized into local asset values and highlights implications for conservation policy and sustainable land use.

Cornaggia - Biodiversity and local asset values.pdf
